TOPIC 1 · THE GLOBAL ECONOMY

ABC News analysis
2–3 Nov 2026

Rates rise worldwide as government debt piles up

Investors are demanding higher returns to lend to governments, pushing up interest rates around the world. An ABC analysis argues that deficits, not just the size of spending, are what add to inflation.

WHAT HAPPENED

- **US** interest payments on federal debt now exceed US$1 trillion a year.
- **Bank of England** is tipped to raise its rate to 4.0% on Thursday, and the RBA is expected to hike today.
- **Australia's** government spending is about 26.8% of GDP (pandemic peak 31.3%), and the deficit is about 1% of GDP.
- **Private investment** is a big pressure: data centre operators raised a record $35 billion this year, pushing up construction costs.

BY THE NUMBERS

>US$1tn
Annual US federal debt interest

4.0%
BoE rate if Thursday's hike goes ahead

26.8%
Aust. govt spending as % of GDP

5.13%
Aust. 10-year bond yield, 2 Nov

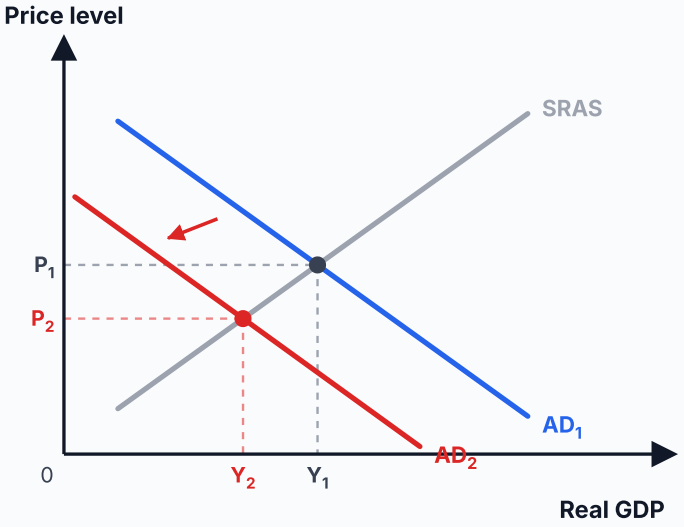
KEY TERMS

Budget deficit: Government spending exceeds revenue in a year.

Sovereign debt: Borrowing by a national government, usually through bonds.

Bond yield: The return investors earn on a bond; a higher yield means a higher cost of borrowing.

DIAGRAM Higher world interest rates slow demand



Higher global yields raise borrowing costs for households, firms and governments. **Consumption and investment fall**, shifting **AD_1 to AD_2**. The price level eases from P_1 to P_2, but real GDP falls from Y_1 to Y_2.

Diagram is illustrative, not to scale.

Exam angle: Separate the **level of spending** from the **budget balance** when judging whether fiscal policy is adding to inflation.

FLOW CHART The chain of cause and effect

Large deficits and debt → Investors demand higher yields → Global borrowing costs rise → **Slower growth and pressure on budgets**

SYLLABUS LINK

Topic 1 – global financial flows and sovereign debt. Topic 4 – the interaction of fiscal and monetary policy.

TRY THIS

Discuss how rising global interest rates could affect Australia's economy and federal budget. **(6 marks)**

Sources: ABC News – Interest rate hikes gather pace across the globe, 3 Nov 2026 – https://abc.net.au/news/2026-11-03/rate-hikes-gather-pace-across-the-globe-as-deficits/107336008 · ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212